ChatGPT

HCM One Research: Bonus, Incentive, and Full-and-Final Payroll Workflows in India

This research focuses on Indian employers and payroll products, with emphasis on evidence published or current in 2023–2026. A critical legal change occurred during that period: India brought the four Labour Codes into effect on **21 November 2025**, so older articles that describe the Payment of Bonus Act, Payment of Wages Act, or Payment of Gratuity Act as the operative law can now be stale. [1]

Confidence labels below mean: **High** = directly stated in a reliable primary or strong first-party source; **Medium** = supported synthesis/inference from multiple sources; **Low** = plausible hypothesis that still needs user research. Public complaints are treated as anecdotes, not prevalence data.

Executive summary

Insight: The dominant UX problem is not the arithmetic itself; it is the handoff between systems, people, and policy. — Confidence: Medium.
Current Indian payroll products show variable-pay inputs being scheduled, bulk-imported, adjusted, approved, held, or paid outside the normal payroll run. Zoho Payroll supports scheduled variable earnings and importing those earnings; Keka exposes bonus pay actions inside payroll and supports bulk Excel uploads; greytHR explicitly describes payroll inputs flowing from attendance and salary-revision processes and warns that spreadsheet payroll is vulnerable to formula and manual-entry problems. This points to a typical mid-market architecture of **upstream performance/sales data → spreadsheet or HRMS preparation → approval → payroll import → tax calculation → final payroll**, rather than one system automatically deriving every incentive from raw sales or performance data. [2]

Insight: Performance incentives and statutory bonus should be treated as different concepts in HCM One. — Confidence: High.
The Code on Wages has a statutory annual-bonus framework with eligibility, minimum/maximum percentages, proration rules and a payment deadline. Separately, the Ministry of Labour clarified in March 2026 that **annual performance-based incentives are not part of the Labour Codes' definition of "wages."** Conflating "statutory bonus," "performance bonus," and "sales incentive" is therefore a product-design and compliance risk. [3]

Insight: F&F remains an orchestration problem even though the wage-payment deadline has become much tighter. — Confidence: High.
Keka's current F&F workflow requires other exit sections to be completed, payroll to be processed and locked, and then reconciles assets, leave, attendance, salary arrears/revisions/bonuses, reimbursements, notice-period buyout, gratuity, loans and tax/contribution overrides. Yet another Keka help article still says exit clearance "typically takes 30–45 days." Since 21 November 2025, Section 17(2) of the Code on Wages requires **wages due on resignation, termination and specified separations to be paid within two working days**. That two-day rule should not be misrepresented as a two-day deadline for every possible F&F component: gratuity, for example, has its own **30-day** statutory deadline. [4]

Insight: The employee-facing problem is explainability. — Confidence: Medium.
An illustrative 2025 Reddit complaint from an Indian IT employee describes receiving an F&F statement demanding roughly ₹3 lakh back within 15 days while not understanding how the amount had been calculated; the poster also said release/service documents were being withheld pending payment. This is one anecdote, not evidence of prevalence, but it exposes a concrete UX failure: a final net amount without transparent calculation provenance is difficult to trust or challenge. [5]

Insight: AI is visible at the HR-platform level, but there is little public evidence that mainstream Indian products let AI autonomously decide bonus eligibility or F&F amounts. — Confidence: High for the evidence gap.
greytHR publicly markets NAVOS as an agentic AI assistant capable of actions such as pulling reports, updating records and approving requisitions; Zoho calls its India payroll product "AI powered"; Darwinbox markets an automation-heavy HCM platform. But in the public documentation reviewed, **no reliable evidence was found that AI autonomously interprets an organization's incentive policy, adjudicates eligibility, calculates F&F recoveries, or releases these payments without deterministic payroll rules and human approval**. [6]

For HCM One, that evidence favors an **agent-as-explainer/orchestrator/reviewer** before an agent-as-final-decision-maker: collect missing inputs, explain the applicable rule, identify discrepancies, simulate results, route approvals, and preserve an audit trail, while deterministic payroll rules remain the source of monetary calculations.

Bonus and incentive findings

Bonus question — How do HR and payroll teams calculate performance bonuses and sales incentives today?

Finding. Public product evidence points to a hybrid workflow in which variable-pay amounts can originate outside payroll, then be scheduled or imported into the payroll engine. **Confidence: Medium.**

Evidence/fact. Zoho Payroll supports "scheduled earnings" for variable-pay components, including one-time payments in a future payroll, and supports file imports for scheduled earnings. Its current India product page also advertises an **off-cycle payrun** specifically so employers do not need to wait for the next regular payroll to pay a bonus or withheld salary. [7]

Keka's payroll workflow has a "Bonus Due" area where payroll administrators can choose actions such as pay, hold, void, pay outside Keka payroll, or partially pay. The same payroll workflow supports bulk Excel imports for several kinds of payroll input. [8]

greytHR's 2026 payroll guide describes payroll as depending on inputs including attendance and salary revisions, and contrasts payroll software with spreadsheet processing. It explicitly identifies spreadsheet risks such as formula/manual-entry errors, duplicates and omissions. [9]

Interpretation for HCM One. A credible mid-sized-company journey is:

`performance / sales result → eligibility & policy rules → individual payout calculation → exceptions/proration → manager/business approval → HR review → payroll import → tax recomputation → payroll approval → payment`

The first half may happen in a performance-management system, CRM, commission sheet or spreadsheet; payroll products are clearly designed to ingest or schedule the resulting amount. However, **no reliable India-wide study was found establishing what proportion of companies use Excel versus a dedicated incentive-management engine**, so that frequency should not be stated as a statistic.

Source links: Zoho Payroll scheduled earnings/imports and off-cycle payroll [10]; Keka payroll workflow [8]; greytHR payroll guide [9].

Finding. Statutory annual bonus has its own calculation model and should not be used as the model for every performance incentive. **Confidence: High.**

Evidence/fact. The Code on Wages provides a statutory annual bonus framework: an employee who falls within the notified wage eligibility level and has worked at least 30 days in the accounting year is covered by the statutory scheme; the minimum bonus is **8⅓%**, subject to the Code's provisions, while the maximum reaches **20%**. The Code also provides proportional reduction where an employee did not work all working days and defines certain absences as days worked. [11]

The Ministry of Labour's March 2026 FAQ separately states that **annual performance-based incentives are not included in "wages"** under the Labour Codes. [12]

Interpretation. HCM One should require an admin to identify a payment's rule type before calculation: for example **statutory bonus**, **annual performance bonus**, **sales commission/incentive**, **retention bonus**, or **ad-hoc award**. That classification can determine which legal, company-policy and tax logic is shown.

Source links: Code on Wages bonus provisions [11]; Ministry of Labour FAQ [12].

Bonus question — What errors and delays are common?

Finding. Manual-input and spreadsheet errors are directly documented; the prevalence of particular incentive-rule errors is not. **Confidence: High for manual-input risk; Low–Medium for specific incentive-error prevalence.**

Evidence/fact. greytHR's current guide says spreadsheet-based payroll exposes teams to formula and manual-entry issues, including duplicate or omitted employees. [9]

Zoho and Keka both support bulk/import mechanisms for variable or payroll earnings, which means data mapping, version control and source-input correctness remain part of the operational chain even when the final payroll calculation is automated. [13]

Interpretation. The highest-value error checks for HCM One are likely to be:

Potential error	Evidence status	Product implication
Wrong/missing employee or duplicate payout	Direct spreadsheet/payroll evidence	Detect employee duplicates and compare headcount to source file
Wrong amount because source file/formula changed	Direct spreadsheet-risk evidence	Show formula/version/source provenance
Mid-year joiner/leaver proration	Statutory bonus explicitly has proration; performance-incentive proration is policy-specific	Ask for applicable proration rule rather than assume one
Employee moved teams during performance period	**No reliable prevalence evidence found**	Treat as validation hypothesis
Different sales slabs by team/product/geography	**No reliable prevalence evidence found**	Treat as validation hypothesis
Target revised after period began	**No reliable prevalence evidence found**	Treat as validation hypothesis
Incentive paid in wrong payroll month	Product workflows explicitly allow scheduling/hold/off-cycle actions	Flag scheduled versus actual payment month

The statutory Code on Wages proration rule is evidence that days worked matter for **statutory bonus**, but it does **not** prove every corporate performance-bonus policy prorates the same way. [14]

Source links: greytHR payroll guide [9]; Zoho scheduled earnings [15]; Keka payroll flow [8]; Code on Wages [14].

Bonus question — How is TDS applied, and what confuses employees?

Finding. A separate universal “bonus TDS rate” is not supported by the official material reviewed; historically, employment bonus was included within salary and salary TDS was based on the employer's estimated salary tax liability. India has, however, changed income-tax statutes for 2026–27, so old Section 17/192 labels should not be hard-coded into a 2026 product. **Confidence: High on the statutory transition; Medium on carrying the familiar payroll mechanism into the 2026 regime pending verification of the newly renumbered provisions.**

Evidence/fact. Under the Income-tax Act, 1961, the Income Tax Department's official Section 17 page expressly included fees/commissions and, in its salary explanation, **bonus or commission payable monthly or otherwise** within salary. The former Section 192 framework required salary TDS using the estimated salary income and allowed adjustment during the year. [16]

That Act is no longer the right statute to cite for the current 2026–27 tax year without qualification. The Income Tax Department now states that the **Income-tax Act, 1961 applies to dues up to FY 2025–26, while the Income-tax Act, 2025 applies for Tax Year 2026–27 onward**. [17]

No reliable evidence found in this research pass for an official, directly searchable 2026 page giving the exact newly renumbered salary-TDS provision and bonus wording. Consequently, I would not present an old Section 192 or Section 17 number as the current legal citation in an October 2026 interface without tax-counsel verification.

Interpretation. The employee confusion to design for is the difference between:

> "Tax charged on my bonus"

and

> "My bonus increased my projected taxable employment income, so payroll recomputed how much tax needs to be withheld."

That explanation is strongly supported by the pre-2026 salary-TDS mechanism, but **no reliable recent public-user evidence was found that quantifies or ranks "bonus TDS confusion" among Indian employees**. Treat that confusion as a research hypothesis rather than a proven prevalence claim.

A useful HCM One explanation pattern would show **gross bonus → revised taxable-income projection → tax already withheld → remaining tax to withhold → net bonus impact**, rather than showing only a large "TDS" number.

Source links: Income Tax Department Section 17 under the prior Act [18]; official salary-TDS rule under the prior Act [19]; official transition to the Income-tax Act, 2025 [17].

Bonus question — What approval steps exist before bonuses are paid?

Finding. Payroll products support explicit maker-checker and configurable approval controls around bonus/salary changes and payroll locking. **Confidence: High.**

Evidence/fact. Keka documents a maker-checker workflow in which organizations can create custom approval chains for payroll locking and compensation changes. Pending salary/bonus changes can prevent further salary/bonus actions until approval is resolved, while payroll can be locked and sent for approval before processing continues. [20]

Darwinbox's public platform description advertises no-code configuration of HR workflows and automations, although the public page reviewed does not document a bonus-specific approval chain in enough detail to claim one. [21]

Interpretation. In real implementations, candidate approval roles are likely to include line manager/business leader for performance outcome, HR or compensation for policy/eligibility, Finance for budget, and Payroll for final run control. **No reliable India-wide evidence was found establishing one universal**

sequence, so HCM One should make the chain configurable rather than encode “Manager → HR → Finance” as law.

Source links: Keka maker-checker documentation [20] ; Darwinbox workflow configurability [21] .

Full and final settlement findings

F&F question — How do HR teams process settlement today?

Finding. F&F is a cross-functional reconciliation, not merely a final salary run. **Confidence: High.**

Evidence/fact. Keka's current F&F workflow begins after the resignation is accepted. Before finalization, other exit sections must be complete and payroll must be processed and locked. The settlement review can include:

- asset damage charges;
- leave loss-of-pay reversals, arrears and leave encashment;
- overtime and shift allowances;
- salary arrears, salary revisions and bonuses;
- expense and reimbursement claims and advances;
- notice-period buyouts;
- gratuity;
- loans and one-time payments;
- tax and statutory-contribution overrides. [22]

Keka then allows a one-time complete settlement or periodic partial settlement and provides a downloadable F&F statement. [22]

greytHR similarly exposes a dedicated **Payroll → Payroll Inputs → Final Settlement** workflow and lets administrators process and lock/unlock an employee's final settlement. [23]

An open-source Indian-oriented HR system, Frappe HR, provides another useful cross-check: its F&F statement pulls payables such as salary slip, gratuity, expense claim, bonus and leave encashment, against receivables such as loans and employee advances. [24]

Interpretation. A realistic organization-level orchestration model is:

HR establishes resignation/termination, last working day and policy eligibility → **manager/department** closes handover and approvals → **IT/Admin** clears assets/access → **leave/attendance** finalizes days and balances → **Finance** closes expenses, advances and loans → **Payroll** calculates salary, recoveries, gratuity, tax and other dues → **approver** reviews/locks → **employee** receives statement and payment.

The exact ownership varies by company, but the cross-department dependencies are directly reflected in product architecture. [25]

Source links: Keka F&F product documentation [22] ; greytHR final settlement documentation [23] ; Frappe HR F&F documentation [24] .

F&F question — What errors and delays are common?

Finding. The error surface spans policy interpretation, leave balance, service history, recoveries, assets and unresolved financial transactions. **Confidence: High that these are calculation dependencies; Medium that each is a "common error" because no representative incidence survey was found.**

Leave encashment. greytHR's product documentation illustrates that an organization's policy may allow only a percentage of the available balance and must specify how fractional encashable days are rounded. Keka lets administrators choose an encashment policy or override the system calculation in F&F. Those controls demonstrate why balance, policy and rounding can diverge. [26]

Gratuity eligibility/basis. This has become especially change-sensitive. Under the now-effective Code on Social Security, the standard rule is gratuity after at least five years' continuous service on retirement/ resignation, with exceptions including death, disablement and expiration of fixed-term employment. The Ministry's post-implementation FAQ additionally confirms the revised wage definition applies to gratuity from **21 November 2025**. [27]

Notice-period recovery. Keka includes notice-period buyouts as a settlement component; however, the amount depends on the organization's employment terms/policy rather than a single universal national formula in the sources reviewed. [22]

Assets and clearance holds. Keka requires exit tasks to be complete before F&F review and explicitly includes asset damage charges in the settlement. This provides direct evidence of an operational dependency between clearance and monetary closure. [22]

Pending dues. Expenses, advances, reimbursements, loans, salary arrears, bonuses and pending receipts can all remain open at exit and must be reconciled. [28]

Interpretation for HCM One. These are well suited to an agent that can say:

> "Settlement is blocked by three unresolved inputs: laptop clearance, March expense claim and leave-balance approval. Salary calculation itself is complete."

That separates **calculation status** from **workflow status**, which many existing "F&F pending" states obscure.

Source links: Keka F&F workflow [22] ; greytHR leave encashment [29] ; Social Security Code [30] .

F&F question — How long does settlement usually take, and what do employees complain about?

Finding. Current vendor documentation still describes a **30–45 day clearance cycle**, but the law now requires much faster payment of the "wages" component. **Confidence: High.**

Evidence/fact. Keka's F&F help documentation says employers need to account for clearance time that "typically takes **30–45 days after their last working day**," and its product lets an employer select the settlement month accordingly. [31]

At the same time, the Code on Wages is now effective, and Section 17(2) says that when an employee is removed, dismissed, retrenched, resigns, or becomes unemployed due to establishment closure, **wages payable shall be paid within two working days**. [32]

Important legal distinction: the statutory wording is **"wages"**, not "every item people colloquially call F&F." For example, the current Social Security Code gives gratuity its own **30-day** payment deadline. [33]

Interpretation. The operational pattern likely has not fully caught up with the new legal architecture. A portfolio case study should avoid the simplistic claim "F&F must now be completed in two days." A better statement is:

> "From 21 November 2025, separation wages have a two-working-day payment requirement, while other settlement components can have different statutory or operational timelines."

This creates a strong agentic-AI use case: split the settlement into components and display **legal due date, operational owner, current blocker, and payment status** for each.

Finding. Public complaints show frustration with unexplained recoveries and delayed closure, but no reliable national prevalence statistic was found. **Confidence: Low for prevalence; High that the cited complaint exists.**

A 2025 r/developersIndia poster said an F&F statement from a major Indian IT employer showed approximately **₹3 lakh recoverable** within 15 days; the employee said they did not understand how it had been calculated and associated receipt of release/service documentation with repayment. The complaint should be treated as an anecdotal UX signal only. [5]

No reliable nationally representative survey was found that establishes the average F&F completion time or percentage of Indian employees experiencing F&F delays.

Source links: Keka settlement-month documentation [31]; Code on Wages [34]; Social Security Code [33]; public Reddit complaint [5].

F&F question — What do employees find confusing in the statement?

Finding. The strongest evidenced confusion is an unexplained net payable/recoverable amount without visible calculation basis. **Confidence: Medium.**

Evidence/fact. The public TCS-related Reddit complaint is explicit that the employee did not understand how the large recovery figure had been calculated. [5]

Product documentation shows just how many underlying components can feed that one number: leave encashment, arrears, bonus, notice-period buyout, gratuity, loans, asset charges, expenses and tax overrides. [22]

greytHR's current F&F-letter guidance likewise says the final document covers pending salary, leave encashment, bonus and gratuity minus items such as notice-pay recovery, loans or unreturned assets. [35]

Interpretation. Employee-facing statements should explain more than "Earnings ₹X / Deductions ₹Y / Net ₹Z." High-value explanations include:

`Component → eligibility rule → quantity/base → rate/formula → source data → adjustment/recovery reason → approver → final amount`

For example:

> **Notice shortfall recovery: ₹34,615**
> Required notice: 60 days
> Served: 45 days
> Shortfall: 15 days
> Salary basis: ₹60,000 / 26 days
> Waiver: none
> Source: employment policy version X
> Approved by: HR Ops

The need for that exact layout is an interpretation, not a statutory requirement.

Source links: public employee complaint [5] ; Keka F&F components [22] ; greytHR F&F guidance [35] .

Competitor support for bonus and settlement

Product	Bonus / incentive support evidenced publicly	F&F support evidenced publicly	Approval / workflow support	AI evidence	Confidence and implication
Keka	Bonus-due workflow with pay, hold, void, partial pay and pay-outside-payroll actions; payroll also supports bulk inputs. [8]	Detailed F&F workflow covering assets, leave, attendance, arrears, bonus, expenses, notice buyout, gratuity, loans, taxes; one-time or periodic settlement and statement download. [22]	Strong maker-checker evidence: custom approval chains, compensation-change approval and payroll locking. [20]	**No reliable evidence found in the reviewed public documentation that AI itself determines bonus or F&F amounts.**	**High** for workflow capabilities. Keka is the strongest public benchmark here for deterministic, admin-controlled flows.
greytHR	Public payroll material describes integrated payroll inputs and contrasts software with Excel; not enough public evidence was found for a sophisticated sales-commission/ slab engine. [9]	Dedicated Final Settlement screen under Payroll Inputs, including process and lock/unlock controls; separate configurable leave-encashment behavior. [36]	Payroll/admin controls are documented, although a bonus-specific multi-stage approval chain was not found in the material reviewed.	greytHR markets **NAVOS**, an agentic AI assistant capable of natural-language HR actions such as report retrieval, record updates and approvals. No reliable evidence found that NAVOS autonomously calculates or releases bonus/ F&F. [37]	**High** that AI exists at platform level; **High** that the public evidence reviewed does not establish AI calculation of these two flows.

Product	Bonus / incentive support evidenced publicly	F&F support evidenced publicly	Approval / workflow support	AI evidence	Confidence and implication
Zoho Payroll India	Strong evidence: scheduled variable earnings, bulk import, formula-based earnings and an off-cycle payrun advertised for bonus payments. [38]	**No reliable public India-specific F&F workflow documentation found in this research pass.**	General payroll automation/ workflows exist, but a comparable public F&F maker-checker flow was not surfaced.	Current India page explicitly markets Zoho Payroll as **"AI powered payroll software."** Public sources reviewed do not establish AI deciding bonus eligibility or F&F recoveries. [39]	**High** on bonus/off-cycle support; **Low/unknown** on India F&F specifics from public evidence.
Darwinbox	Darwinbox publicly lists Payroll as part of its HCM suite, but **no reliable public documentation was found in this pass describing exact bonus calculation/ slab functionality**. [40]	Darwinbox covers the employee lifecycle and configurable HR workflows, but **no sufficiently detailed public F&F calculation guide was found**. [41]	Strong platform-level evidence for configurable no-code HR workflows and automation. [21]	Darwinbox publicly positions itself in AI-powered HCM, but the reviewed material does not show AI autonomously computing these two workflows. [40]	**Medium.** Do not fill the public-documentation gap by assuming capabilities that are not documented.

Market interpretation. Existing products are already fairly capable at **workflow, import, deterministic payroll computation and approval**. The clearer opportunity for an "agentic" HCM One is therefore not merely "AI calculates a bonus." It is to add a layer that can reason over policy and workflow while remaining auditable: identify which rule applies, request missing inputs, compare the source file to employee records, explain proration, surface exceptions, simulate tax/net impact, route the right approver, and produce an employee-readable explanation. This is an inference from the competitor evidence, not a claim that competitors cannot implement these features. [42]

Statutory rules mentioned

Rule	Current position and effective date	Source	Confidence
Four Labour Codes commenced	The Code on Wages, Industrial Relations Code, Code on Social Security and OSHWC Code were brought into effect on **21 Nov 2025**. Older payroll articles citing only the predecessor Acts may therefore be stale.	Government of India / PIB. [1]	**High**
Separation wages	Code on Wages §17(2): on specified separations including resignation, wages payable are due within **two working days**. This should **not** be paraphrased as "all F&F components in two days." Effective **21 Nov 2025** with the Code.	Code on Wages official text. [43]	**High**
Statutory annual bonus eligibility	The Code's bonus chapter covers an eligible employee who has worked at least **30 days** in the accounting year, subject to the notified wage threshold.	Code on Wages. [44]	**High**
Statutory bonus range	Minimum annual bonus is **8⅓%** under the statutory framework; maximum bonus is **20%**, subject to the Code's allocable-surplus provisions. Effective **21 Nov 2025**.	Code on Wages. [11]	**High**
Statutory-bonus proration	Where the employee has not worked all working days, the Code provides for proportional reduction; certain leave/ maternity/accident/layoff periods count as days worked. Effective **21 Nov 2025**.	Code on Wages. [14]	**High**
Statutory-bonus payment deadline	Bonus payable under the chapter is generally to be paid to the employee's bank account within **eight months** after the close of the accounting year, subject to statutory exceptions/extensions. Effective **21 Nov 2025**.	Code on Wages. [45]	**High**
Reported statutory-bonus wage thresholds	A Sept. 2026 report on a Labour Ministry clarification dated 25 Aug. 2026 states an eligibility ceiling of **₹21,000/month** and a calculation basis of **₹7,000/month or the applicable minimum wage, whichever is higher**, applied from 21 Nov. 2025. The underlying Gazette notification was not surfaced directly in this research pass.	Financial Express report. [46]	**Medium**

Rule	Current position and effective date	Source	Confidence
Performance incentive versus "wages"	Ministry FAQ dated **16 Mar 2026** says annual performance-based incentives are **not part of "wages"** under the Labour Codes. The revised wage definition applies from **21 Nov 2025**.	Ministry of Labour FAQ. [12]	**High**
Standard gratuity eligibility	Code on Social Security §53: normally payable on termination after at least **five years' continuous service** on specified events such as retirement/resignation. Five years is not required in specified exceptions including death, disablement and expiry of fixed-term employment. Effective **21 Nov 2025**.	Code on Social Security. [47]	**High**
Fixed-term employee gratuity	Government implementation material states fixed-term employees are eligible for gratuity after **one year** of continuous service; the Labour Ministry's March 2026 FAQ is consistent with this post-Code treatment.	PIB and Ministry of Labour FAQ. [48]	**High**
Gratuity amount	For every completed year, or part over six months, gratuity is generally **15 days' wages** based on last-drawn wages; for a monthly-rated employee, the Code specifies monthly wage ÷ **26 × 15**. Effective **21 Nov 2025**.	Code on Social Security. [49]	**High**
Gratuity payment deadline	Employer must arrange gratuity payment within **30 days** from the date it becomes payable; delay can attract interest subject to the statutory exception. Effective **21 Nov 2025**.	Code on Social Security §56. [33]	**High**
Income-tax regime change	The Income Tax Department states the Income-tax Act, 1961 applies to dues up to **FY 2025–26**, while the **Income-tax Act, 2025** applies from **Tax Year 2026–27**.	Income Tax Department. [17]	**High**
Bonus included in salary under predecessor tax law	The former Income-tax Act, 1961 definition expressly included bonus/commission in salary. This is useful historical context, but should not be presented as the current 2026 section citation without mapping it to the 2025 Act.	Income Tax Department. [18]	**High historically; current section mapping not verified**

Rule	Current position and effective date	Source	Confidence
Leave encashment tax exemption	CBDT increased the tax-exemption limit for qualifying leave encashment of non-government salaried employees in 2023. This is a **tax rule**, not proof of a universal private-sector entitlement to leave encashment.	Income Tax Department release, 25 May 2023. [50]	**High**

A particularly important research correction is therefore: **do not use pre-November-2025 articles as the sole authority for current bonus/gratuity/wage-payment law.** [1]

Key statistics

These are the only numerical findings I would put into a portfolio slide without additional primary research:

Sourced number	What it means	Source / confidence
2 working days	Current Code on Wages deadline for wages payable on specified employee separations, including resignation. It is not automatically the deadline for every F&F component.	Official Code. **High.** [34]
30 days	Current deadline to arrange payment of gratuity once it becomes payable.	Social Security Code. **High.** [33]
5 years	Standard continuous-service threshold for gratuity in the cases specified by the Social Security Code, with statutory exceptions.	Social Security Code. **High.** [51]
1 year	Post-Code eligibility cited by the Government for fixed-term employees' gratuity.	PIB / MoLE. **High.** [48]
15 days' wages per completed year	Standard gratuity rate; monthly-rated calculation uses last-drawn monthly wage ÷ 26 × 15.	Social Security Code. **High.** [52]
30 days worked	Minimum work-duration condition in the statutory annual-bonus chapter.	Code on Wages. **High.** [44]
8⅓% minimum / 20% maximum	Statutory annual-bonus range under the Code's framework.	Code on Wages. **High.** [11]
8 months	General statutory deadline for payment of bonus after close of the accounting year, subject to exceptions/ extensions in the Code.	Code on Wages. **High.** [45]

Sourced number	What it means	Source / confidence
30–45 days	Keka's current help documentation describes this as the clearance time that "typically" needs to be accommodated after last working day. This is **vendor-described operational practice, not a national average and not the current wage-payment deadline**.	Keka. **High as a vendor statement; Low as a market statistic.** 31
₹21,000 / ₹7,000	Eligibility ceiling and calculation base reported in Sept. 2026 coverage of the Labour Ministry's Aug. 2026 statutory-bonus clarification; minimum wage can replace ₹7,000 where higher. Primary Gazette source was not surfaced.	Financial Express. **Medium.** 46

No reliable evidence found for a national average percentage of bonus-calculation errors, average incentive-processing delay, percentage of employees disputing F&F, percentage of F&F cases delayed, or average number of departments involved. Those would be good primary-research metrics for the case study rather than numbers to invent from anecdotal material.

Open questions to validate with real users

Research question	Why it matters to HCM One
Where is the "source of truth" for performance/sales achievement today: CRM, PMS, Excel, email, or the HRMS?	Establishes whether the agent needs to calculate, reconcile, or merely import variable pay.
Who owns the final incentive formula, and who can change it after the performance period starts?	Tests the need for policy versioning and audit history.
What exactly happens to a mid-period joiner, leaver, transfer, promotion or employee on long leave?	Validates the currently low-evidence proration and team-rule hypotheses.
For sales incentives, how many plans/slabs are active simultaneously, and what dimensions vary—team, geography, role, product, quota, collection or revenue?	Determines whether a simple formula builder is sufficient or whether HCM One needs a richer rule engine.
What causes an incentive run to be sent back during approval most often?	Could reveal whether the primary problem is bad data, budget, eligibility or calculation logic.
When an employee asks "why is my bonus net amount so low?", what information does payroll manually assemble to answer them?	Tests the proposed annual-tax-projection explanation.
Can payroll currently identify the exact source cell/ system record behind every payout amount?	Tests whether calculation provenance is a differentiated capability.

Research question	Why it matters to HCM One
Which F&F dependencies genuinely need to block wage payment, and which are simply historical company process?	Especially important after the two-working-day wage rule.
How are asset issues handled when wages are legally due but a laptop or other clearance is unresolved?	Tests whether settlement should be decomposed into independently payable components rather than one blocked state.
What is the most frequently disputed F&F line item: notice recovery, leave, gratuity, tax, salary days, incentive, loan or asset charge?	No reliable prevalence data was found; this should be learned directly.
Does the employee see the same calculation detail that the payroll administrator sees?	Tests the hypothesis that explainability, rather than calculation accuracy alone, drives support tickets.
How are post-settlement corrections handled after an F&F statement is finalized?	Keka allows revisiting/reprocessing; agent behavior needs a clear audit and correction model. [22]
Which AI actions would payroll admins permit without approval: finding missing inputs, explaining a formula, recommending a correction, changing a payout, or releasing payment?	Defines an evidence-based autonomy boundary rather than assuming "agentic" means fully autonomous.
What evidence must the agent show before an HR/ payroll user trusts its answer?	Likely candidates are source data, policy clause, formula, effective date, previous value and approver—but this requires validation.

For the portfolio story, the strongest research proposition to test is: **"Payroll admins need an agent that can explain and orchestrate policy-heavy exceptions faster, but they still want deterministic calculations and explicit human approval before money moves."** Competitor and workflow evidence supports this as a hypothesis, but user interviews are still required to validate it. [53]

Full source list

Source	Date / freshness	What it supports
Government of India / PIB — implementation of the four Labour Codes [1]	21 Nov. 2025	Effective date of current labour-law regime.
Ministry of Labour & Employment — Additional FAQs on Labour Codes [12]	16 Mar. 2026	Performance incentive exclusion from "wages"; gratuity/wage-definition implementation; fixed-term treatment.

Source	Date / freshness	What it supports
Government of India — Code on Wages, 2019, §17 [34]	Effective 21 Nov. 2025	Two-working-day separation-wage rule.
Government of India — Code on Wages, bonus chapter [54]	Effective 21 Nov. 2025	30-day work condition; statutory bonus minimum/maximum; proration; counted days; payment deadline.
Government of India — Code on Social Security, 2020, §§53–56 [55]	Effective 21 Nov. 2025	Gratuity eligibility, calculation and 30-day payment deadline.
PIB — Code on Social Security implementation explainer [56]	22 Nov. 2025	Fixed-term employee gratuity after one year.
Income Tax Department — current portal / Income-tax Act transition [17]	Current in Oct. 2026	Income-tax Act, 2025 applies from Tax Year 2026–27.
Income Tax Department — former Income-tax Act §17 [18]	Historical rule now superseded for current-year taxation	Explicit historical treatment of bonus/ commission within salary; useful for understanding previous TDS logic.
Income Tax Department — former salary TDS provision [19]	Historical rule	Estimated annual salary/TDS mechanism and within-year adjustments.
Income Tax Department — leave encashment exemption announcement [50]	25 May 2023	Tax treatment context for leave encashment.
Financial Express — report on Labour Ministry statutory-bonus clarification [46]	Sept. 2026, reporting Aug. 2026 notification	Reported ₹21,000 eligibility / ₹7,000-or-minimum-wage computation figures; used at Medium confidence because primary notification was not surfaced.
Keka Help — Running payroll [8]	Current public help	Bonus due actions, joiner/exit inputs, bulk payroll imports, statutory overrides.
Keka Help — Maker-Checker approval workflow [20]	Current public help	Custom payroll/compensation approval chains, locking and salary/bonus approval controls.
Keka Help — Processing a Full and Final Settlement [22]	Current public help	End-to-end F&F components, prerequisites, modes and statement download.
Keka Help — changing F&F settlement month [31]	Current public help	Vendor-described 30–45-day clearance period.

Source	Date / freshness	What it supports
greytHR — Payroll guide [9]	Aug. 2026	Payroll inputs; Excel/manual formula, duplicate and omission risks; integrated payroll rationale.
greytHR Help — Employee Final Settlement [23]	Current public help	Dedicated F&F processing and lock/unlock control.
greytHR Help — Leave Encashment [29]	Current public help	Percentage-based encashment and fractional-day rounding behavior.
greytHR — F&F settlement letter guidance [35]	18 Aug. 2026	Typical F&F additions/deductions and employee-facing documentation.
greytHR — product/NAVOS information [37]	Current in 2026	Platform-level agentic AI capabilities; no specific evidence found for autonomous bonus/F&F calculation.
Zoho Payroll India — product page [39]	Current in Oct. 2026	AI-powered positioning; off-cycle bonus payrun.
Zoho Payroll — Scheduled Earnings [57]	Current public docs	Variable-pay scheduling and file imports.
Zoho Payroll — May 2024 product update [58]	May 2024	Off-cycle payments including commission, bonus and incentive.
Darwinbox — platform and workflow pages [59]	Current in 2026	Payroll suite presence and no-code HR workflow/automation positioning; detailed public evidence on the two target flows was not found.
Frappe HR — Full and Final Statement documentation [24]	Current	Independent cross-check of F&F as reconciliation of salary, gratuity, expenses, bonus, leave, loans and advances.
Reddit / r/developersIndia — TCS F&F recovery complaint [5]	2025 complaint, crawled 2026	Anecdotal evidence of difficulty understanding a large F&F recovery amount; not evidence of prevalence.

The most defensible case-study framing from this evidence is that **bonus and F&F are exception-heavy reconciliation workflows with fragmented inputs, policy ambiguity, approval dependencies and weak employee explainability.** The strongest role for an agentic payroll assistant is therefore to **trace, reconcile, explain and route** calculations—not to silently invent policy or make irreversible pay decisions. [60]

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[1] [32] Government Makes the Four Labour Codes Effective
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